

Spend and Revenue in the First Year of a Tech Startup

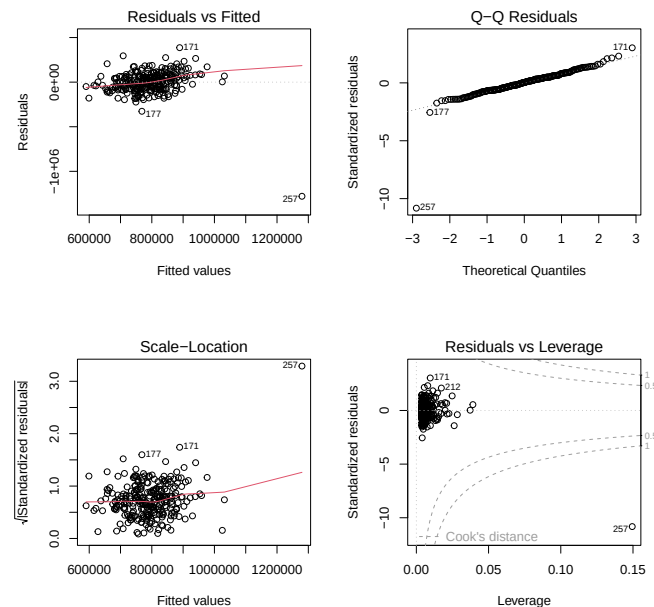
Background

We have gathered the financial data of 268 other app development companies and have two goals:

1. To analyze the relationship between spend and revenue within the first year of tech startups.
2. To decide whether to spend \$500,000 or \$700,000 within our first year.

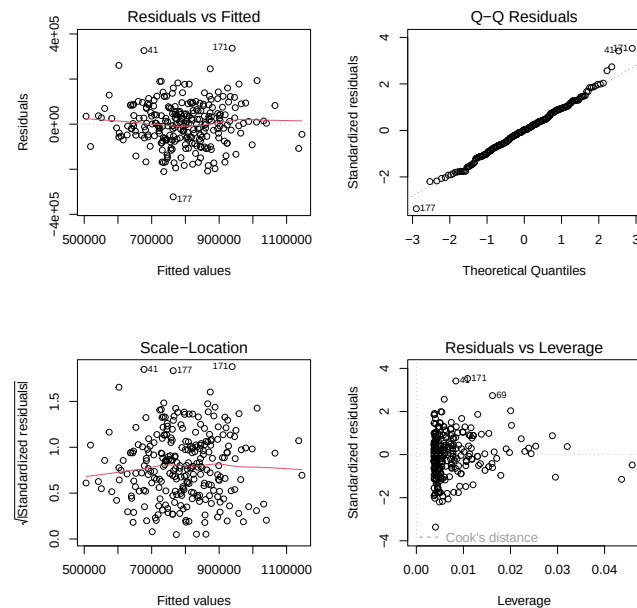
Modeling Spend and Revenue

We can try fitting the relationship between spend and revenue of our data as a linear model, however, it is highly influenced by a singular *leverage point*. This company spends \$1,255,897 and has a revenue of \$0.



Modeling Spend and Revenue (cont.)

Hence, it is reasonable to refit our model excluding this company as they are an outlier.



The Linear Model

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\$500,000 or \$700,000

Conclusion